

**BEFORE THE
FEDERAL MARITIME COMMISSION**

WAN HAI LINES, LTD. AND
WAN HAI LINES (USA) LTD.–

POSSIBLE VIOLATIONS OF 46 U.S.C. § 41102(C)

DOCKET NO. 21-16

**ANSWER OF RESPONDENTS WAN HAI LINES, LTD. AND WAN HAI LINES (USA)
LTD. TO ORDER OF INVESTIGATION AND HEARING**

Respondents Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd., through the undersigned attorneys, hereby submit this Answer to the Federal Maritime Commission’s Order of Investigation and Hearing in the above-captioned docket (“Order”). Respondents are sometimes referred to jointly as “Wan Hai” or “Respondents”).

**RESPONDENT’S RESPONSE TO THE INTRODUCTION AND BACKGROUND
REGARDING PORT CONGESTION CONDITIONS SET FORTH IN THE ORDER**

1. With respect to Introductory Paragraph 1 of the Order, Respondents lack a sufficient basis to admit or deny the basis for the Federal Maritime Commission’s (“FMC” or “Commission”) decision to institute this proceeding, but deny any violation of the Shipping Act with respect to container returns.
2. Introductory Paragraphs 2 and 3 of the Order make no factual allegations with respect to Respondents and require no response.
3. Introductory Paragraphs 4-7 of the Order make no factual allegations with respect to Respondents and require no response. However, because these Paragraphs contain certain

inaccuracies which could be prejudicial to Respondents, Respondents deny the allegations in these Paragraphs. The documents cited in Paragraphs 4-7 speak for themselves.

4. Introductory Paragraph 8 contains no factual allegations with respect to Respondents and requires no response.

RESPONDENT'S RESPONSE TO THE STATEMENT OF FACTS CONSITUTING
BASIS OF VIOLATIONS SET FORTH IN THE ORDER

5. With respect to Paragraph 1, Respondent Wan Hai Lines, Ltd. admits that it is a vessel-operating common carrier headquartered at 10th Floor, No. 136, Sung Chiang Road, Taipei 104528, Taiwan.

6. With respect to Paragraph 2, Respondent Wan Hai (USA) Ltd. admits that it has an office at 17200 N. Perimeter Drive, Suite 200, Scottsdale, AZ 85255.

7. With respect to Paragraph 3, Respondent Wan Hai Lines, Ltd. admits that it is a vessel-operating common carrier. Respondents lack a sufficient basis to admit or deny the market share statistics cited in Paragraph 3 but, to the extent a response is required, deny.

8. Respondents admit there is a list of containers attached to the Order as alleged in the second sentence of Paragraph 4, and admit that invoices for detention charges ranging from \$125.00 to \$1,550.00 per container were issued for the containers on that list as alleged in the first and second sentences of Paragraph 4. Respondents deny all other allegations contained in Paragraph 10 of the Order.

9. Respondents admit that invoices for detention charges were issued for the containers listed in Attachment A to the Order as alleged in Paragraph 5.

10. Respondents deny the allegations contained in Paragraph 6.

11. Respondents admit that the invoiced party requested a waiver of the invoices issued for the containers listed in Attachment A to the Order. Respondents deny the other allegations contained in Paragraph 7.

12. Respondents deny the allegations contained in Paragraph 8.

13. Respondents deny the allegations contained in Paragraph 9.

14. Paragraph 10 of the Order is a recitation of Section 41102(c) of the Shipping Act of 1984, as amended (the “Act”) that makes no factual allegation against either Respondent and requires no response. The statute speaks for itself.

15. Paragraph 11 of the Order is a recitation of Section 41302(a) of the Act that makes no factual allegation against either Respondent and requires no response. The statute speaks for itself.

16. Paragraph 12 of the Order is a recitation of Section 41304 of the Act that makes no factual allegation against either Respondent and requires no response. The statute speaks for itself.

17. Paragraph 13 of the Order draws legal conclusions and makes no factual allegation against either Respondent and therefore requires no response.

18. Paragraph 14 of the Order purports to describe an interpretative rule issued by the Commission and makes no factual allegation against either Respondent. Hence, no response is required. The documents cited in Paragraph 14 speak for themselves.

19. Paragraph 15 of the Order purports to further describe the interpretative rule described in Paragraph 14 of the Order, and certain other legal principles. This paragraph makes no factual allegations against either Respondent and requires no response. The documents cited in Paragraph 15 speak for themselves.

20. Paragraph 16 of the Order is a recitation of the interpretative rule described in paragraph 14 of the Order that makes no factual allegation against either Respondent and requires no response. The documents cited in Paragraph 16 speak for themselves.

21. Paragraph 17 of the Order purports to further describe the interpretative rule described in paragraph 14 of the Order, and certain other legal principles. This paragraph makes no factual allegations against either Respondent and requires no response. The documents cited in Paragraph 17 speak for themselves.

22. Paragraph 18 of the Order purports to further describe the interpretative rule described in paragraph 14 of the Order, and certain other legal principles. This paragraph makes no factual allegations against either Respondent and requires no response. The documents cited in Paragraph 18 speak for themselves.

23. Paragraph 19 of the Order purports to describe Section 41102(c) of the Act and makes no factual allegation against either Respondent and requires no response. The statute and the documents cited in Paragraph 19 speak for themselves.

24. Paragraph 20 of the Order draws legal conclusions and makes no factual allegation against either Respondent and therefore requires no response.

25. Paragraph 21 contains no factual allegations with respect to Respondents and requires no response.

26. Respondents deny the allegations contained in Paragraph 22.

27. Paragraph 23 contains no factual allegations with respect to Respondents and requires no response.

28. The remaining Paragraphs of the Order require no response.

Affirmative Defenses

1. The Commission lacks subject matter jurisdiction.
2. The Commission lacks personal jurisdiction over Respondent Wan Hai Lines (USA) Ltd.
3. Any inability to return empty containers within free time was due in whole or in part to the acts and/or omissions of the motor carrier and/or the cargo interest(s).
4. Respondents' conduct was reasonable in light of the totality of the circumstances.

WHEREFORE, Respondents pray that after due oral hearing to be conducted in Washington, D.C., an order be made dismissing the Order.

Respectfully submitted,

By: 
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Wayne R. Rohde
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Dated: January 24, 2022

VERIFICATION OF RESPONDENTS WAN HAI LINES, LTD. AND WAN HAI LINES
(USA) LTD.

Tim Murphy, hereby verifies as follows:

1. I am Director of Trans-Pacific Trade of Wan Hai Lines (USA) Ltd
2. I am authorized to make this verification on behalf of Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: January 24, 2022

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Name: Tim Murphy

Title: Director of Trans-Pacific Trade

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 24th day of January, 2022, a true and correct copy of the foregoing Answer was served via electronic mail on:

Bureau of Enforcement, Federal Maritime Commission
(boe@fmc.gov)

Benjamin Trogon, Esq. (btrogon@fmc.gov)

Maryanne Mundy, Esq. (mmundy@fmc.gov)

Serena Tang, Esq. (stang@fmc.gov)

A handwritten signature in dark ink, appearing to read "Josh P. Stein", is written over a horizontal line.

Joshua P. Stein